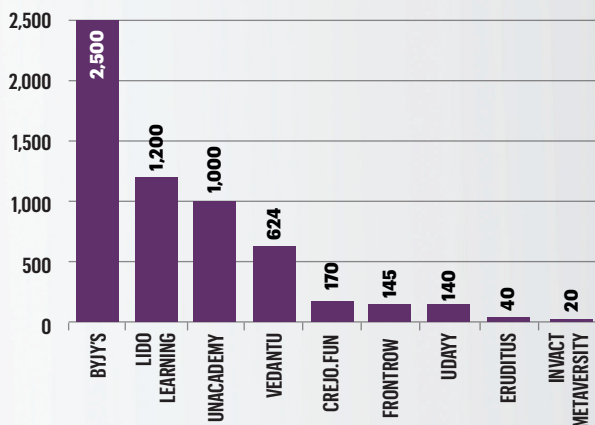


## EDTECH LAYOFFS

Edtech start-ups have sacked nearly 6,000 employees since the beginning of this year



NUMBER OF EMPLOYEES FIRED; SOURCE MEDIA REPORTS

## BYJU'S REPORT CARD

- Laid off around 2,000-2,500 employees since January, though the official figure is less than 500
- Yet to complete the \$800-million funding round announced in March 2022
- Made an offer to acquire US-based online university degree provider 2U in a \$2.4-billion deal
- Financial reports have not been filed for two years; company says it will file soon
- At \$22 billion, BYJU'S is the highest-valued edtech start-up in the world

for the last two fiscals. The \$22-billion valuation it commanded in its last funding round is over 18 times this revenue. Even if it grows its revenue by 50 per cent to reach \$1.8 billion next fiscal, the valuation is still about 12 times forward revenue.

Nasdaq-listed 2U's FY22 revenue projection is \$1.05-1.09 billion, a 13 per cent jump from \$945.7 million in the previous fiscal. 2U commands an enterprise value of around \$2 billion, which includes its market cap of around \$750 million (as of July 15, 2022), \$1 billion of debt and other liabilities. The valuation, therefore, is

about 2x of its revenue. A potential deal helps BYJU'S add \$1 billion of 2U revenue to its books, which takes its top line to \$2.8 billion. Even at a moderate 10x forward revenue, the valuation will hit \$28 billion.

Buying revenue is a scary thing, a global PE investor says: "Credit to him [Founder Byju Raveendran], he has been able to raise a lot of cash on a very high multiple. He is using that cash and debt to gobble up companies that are in a much lower multiple, and putting it all together for a fancy narrative. Whether this strategy plays out or whether the

market will see through it in the future is anybody's guess."

Meanwhile, the company is yet to complete the \$800-million funding round it announced this March. While Raveendran has infused \$400 million himself, another \$250 million of commitment from Sumeru Ventures and Oxshott is yet to arrive. BYJU'S says the delays are due to "macroeconomic reasons".

"It looks like cash is not coming on to BYJU'S table easily like it used to, otherwise why would an entrepreneur, who has taken secondary money at much lower valuation in the past, put his own money at \$22 billion (valuation)? It doesn't make sense," the aforementioned PE investor says.

Meanwhile, reports say that BYJU'S is in discussions with a number of special-purpose acquisition companies (SPACs) to go public in the US. But with SPAC losing its sheen in the current market draw-down, it's unclear if BYJU'S will take the risky route to listing.

"The reason BYJU'S is getting away with a lot of these is that it's still a private investor-backed company. Given the scale, it will have to go public at some stage. If somebody is investing at \$22 billion, he would expect about \$40 billion in the next round. Investors at \$40 billion would expect valuation to double when they exit. At present, BYJU'S is buying revenue to show some growth, especially US revenues before going public in the US. Public market investors will see through these things quite easily," says an investor who has managed several IPOs.

Clearly, the edtech company has a lot to fix before it hits the public market. Or, even otherwise. **BT**

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